

Part 2 Statement of Requirement

Section 6. Statement of Requirement

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1. INTRODUCTION AND BACKGROUND

Zemen Bank started operations in October 2008 with a vision of bringing a new level of innovation and dynamism to the Banking business in Ethiopia. The bank had a successful period over its more than a decade operation. The bank is continuously growing and expanding its operations over the years. For more information you can visit <https://www.zemenbank.com/>.

Digitization and digital enablement are key focus/thematic areas set at the forefront of Zemen Bank's current corporate strategy. A critical element of it, Document Management Solution (DMS) is thus one initiative, among others, significantly contribute to this digitization. In today's fast paced and competitive business environment, organizations implement DMS to secure enormous business benefits. Similarly, in Zemen implementing DMS is very critical as it helps realize operational excellence through end-to-end document digitization and work-flow automation, data security, individual and team collaboration and ultimately ensure efficiency in the day-to-day business operations of the Bank. In view of that, in Zemen, a project implementation target is set for 2024/25 and 2025/26 fiscal years, to acquire and implement DMS with its basic features and capabilities and to integrate it with other IT solutions being implemented in core and support areas.

Thus, the Bank is seeking the services of qualified vendors to support the implementation of a Document Management System (DMS). The system will streamline document handling, work flow automation, improve collaboration, enhance compliance, and ensure secure and efficient storage and retrieval of organizational documents.

The vendor will thus provide expertise in both designing, supplying and implementation phases of the project in assessing the environment (AS-IS), providing, executing and supporting a solution to meet our functional and non-functional requirements while aligning with our strategic objectives.

The purpose of this project is, therefore, to propose, design, deploy and support a DMS solution. The bidder shall supply all the required services for achieving all the required deliverables to meet the project's requirement in a cost-effective manner. Bidders are expected to propose a state-of-the-art solution. The bank therefore invites interested, experienced and qualified companies to come up with their solution.

This RFP follows a **Two-Stage Bidding Process**, where vendors submit initial proposed technical offerings documents in Stage 1 and detailed final technical and financial proposals in Stage 2.

2. BACKGROUND

As part of its modernization initiative, Zemen Bank intends to implement a centralized DMS to enhance document governance, streamline operations, improve collaboration across departments, and ensure compliance with regulatory requirements.

The DMS will serve as a critical enterprise-wide platform supporting both operational and strategic objectives.

3. OBJECTIVES OF THE DMS PROJECT

- Establish a centralized, secure repository for all enterprise documents.
- Automate workflows and approval processes.
- Improve efficiency, reduce manual handling, and minimize paper-based operations.
- Enhance compliance with regulatory and audit requirements.
- Integrate the DMS with Core Banking, HR systems, ERP, email, and other enterprise applications.
- Support advanced document search, indexing, and retrieval.
- Provide scalable architecture to accommodate future growth.
- Improve efficiency of the operation of the business by digitizing end-to-end document management
- Enhance efficiency and team work through collaboration, resource sharing and parallel working
- Enhance Security and compliance by better tracking and access control
- Reduce costs by minimizing paper and storage
- Ensure availability of back-up records and archives in the Bank.
- Enhance document accessibility to all internal as well as external stakeholders and supports in-bound and outbound communications
- Ultimately create a paperless business environment which delivers better value to customers and other stakeholders.

4. SCOPE OF WORK

The selected vendor shall provide:

- DMS software licenses (enterprise-wide)
- Installation and configuration
- Workflow automation setup
- Integration with existing systems
- Data migration and digitization support
- User and administrator training
- Technical and user documentation
- Warranty and post-implementation support

5. COST OF BIDDING

The bidders shall cover all costs associated with the preparation and submission of their bid, and Zemen Bank Share Company, hereinafter referred to, as The Bank will in no case be responsible or liable for those costs, regardless of the outcome of the bidding process. Bidders are solely responsible for all expenses associated with responding to this RFP.

6. IMPORTANT INFORMATION AND DATES:

RFP No	-----dated
Name of the Work	Design, Supply and implementation of document management system (DMS) – New at Zemen HQ
Last date for submission of clarification queries	
Duration of the RFP response	
Last date & time of submission	
Stage I Bid Response Document Delivery	
Date & Time of Opening	
Contact person	

7. TERMS OF REFERENCE

Zemen Bank Invites experienced and eligible firms for the work of Design, Supply and implementation of document management system (DMS) at the new headquarter building located at Ras Abebe Aregay Street, Addis Ababa. The intended firm/vendors should have proven track record of designing, setting up, operation and support of DMS.

7.1. Clarification of Bidding Documents

- A. A prospective bidder is expected to examine all corresponding instructions, and terms contained in this document. Failure to comply with these documents will be at its own risk and may affect evaluation.
- B. A prospective firm requiring any clarification of this documents may notify the bank in writing to procurement and contract management department.
- C. The bank will respond in writing to any request for clarification which it receives within three working days prior to the deadline for submission of the proposal by bidders.

8. TWO STAGE BIDDING PROCESS

Prior to the detailed evaluation, the Bank will determine whether each bid is of acceptable quality, is complete, and is substantially responsive to the Bidding Documents. For purposes of this determination, a substantially responsive bid is one that

- A. Materially conforms with the First Stage Bid and/or Second stage bid offer,
- B. Incorporates the modifications, clarifications noted and listed in the bid,
- C. Has no material deviation, exception, objection, conditionality, or reservation in the scope, quality, or performance of the DMS project delivery;

A two-stage bidding process will be used which will proceed as follows:

- A. The first stage bid will consist of a technical offering only, without any reference to prices, but including a list of any deviations to the technical conditions set forth in the bidding documents and/or adding any alternative technical solutions a Bidder wishes to offer. Following the evaluation of first stage bids, a Bidder that adequately meets the minimum acceptable qualification criteria and has submitted a sufficiently technically responsive bid as per the evaluation criteria noted may be invited to

attend a clarification meeting(s), during which the Bidder's bid will be reviewed. Any required bid-specific changes, additions, deletions and other adjustments will be noted and recorded for subsequent stage II bid. Bidders may not be invited to submit second stage bids, if their first stage bids contain departures from the requirements or do not pass as per the evaluation criteria set. All other suitably qualified and eligible Bidders, however, shall receive invitations to submit second stage bids.

B. The second stage bid will consist of:

- The updated technical bid incorporating all changes reflecting bidders' valuable feedback; and
- The commercial bid.

8.1. STAGE ONE

During the Stage one,

- A. Bidders first submit their technical proposals, in accordance with the scope of the bid, but without prices.
- B. The technical proposals are opened at the date and time advised in the bidding document. The technical proposals are evaluated and discussed with the bidders. Any deficiencies, extraneous provisions and unsatisfactory technical features are pointed out to the bidders whose comments are carefully evaluated. Successful bidders qualified to the second stage are allowed to revise or adjust their technical proposals to meet the requirements of the Bank. The objective of the exercise is to ensure that all technical proposals conform to the same acceptable technical standard (regarding scope, responsiveness, clarity) and meet the technical solution required by the Bank.
- C. Bids of bidders who are unable or unwilling to bring their bids to conform to the acceptable technical standard may be rejected as deficient bids.

8.2. STAGE TWO

During the Stage two,

- A. Based on the evaluation result of technical proposals in Stage I, the second stage is to invite successful bidders to submit Stage II technical proposals and price proposals in compliance with the acceptable technical standard.

- B. The revised technical proposals shall clearly outline the design and bill of materials. The proposals will be opened in public at a date and time advised by the Bank. In setting the date, the Bank will allow sufficient time for bidders to incorporate the changes involved in the technical proposals and prepare price proposals. The revised technical proposal is reviewed primarily in compliance of the changes in design and response to the bill of materials.
- C. In the Second stage, the Bank will determine whether each bid is of acceptable quality, is complete, and is substantially responsive to the Bidding Documents of the second stage technical requirement. If a Second Stage Bid is not substantially responsive, it will be rejected by the Bank and may not subsequently be made responsive by the Bidder by correction of the nonconformity. The Bank determination of bid responsiveness will be based on the contents of the bid itself.
- D. The First Stage Bid on which the Second Stage Bid is based, while not having to be resubmitted, remains an implied, integral part of the Second Stage Bid.
- E. Based on the revised technical proposal, i.e. Stage I and Stage II technical summary result, the price proposals are evaluated.
- F. Following the Bank's approval, the contract will be awarded to the winning responsive bidder.

8.3. GENERAL REQUIREMENTS

Please note that the intentions of the Bank are laid out in the below functional and non-functional requirements based on our understanding of best practices. However, **bidders are encouraged and advised to provide their input on all aspects of the plan**. Bidders will be evaluated for valued comments.

8.3.1. Functional Requirements

8.3.1.1. Document Management

- Document creation, capture, indexing
- Version control with history tracking
- Full-text search and metadata search
- Document check-in/check-out
- Role-based access control
- Retention and archival management

8.3.1.2. Workflow Automation

- Workflow designer

- Automated routing, approval, and escalation
- Notification and alerts via email
- Workflow analytics and reporting
- 8.3.1.3. Security & Compliance**
 - Encryption in transit and at rest
 - Multi-factor authentication
 - Full audit trails
 - Digital signature support
 - Version control
 - Compliance with regulatory frameworks
- 8.3.1.4. Integration Requirements**
 - Core Banking System
 - HR and Finance systems
 - ERP systems
 - Email systems (Outlook/Exchange)
 - Active Directory / LDAP
 - Other acquired and home grown systems
- 8.3.1.5. Document Capture**
 - Bulk scanning
 - OCR capabilities
 - Barcode/QR code scanning
- 8.3.1.6. Collaboration & Mobility**
 - Document sharing
 - Parallel working (edit, comment, real time notification, etc.)
 - Annotation and commenting
 - Mobile access for approvals
- 8.3.2. Non-Functional Requirements**
 - 8.3.2.1. Performance**
 - High responsiveness
 - Fast document retrieval
 - 8.3.2.2. Scalability**
 - Support millions of documents
 - Cloud/on-premise/hybrid deployment
 - Accommodates new workflows
 - Accommodates incoming solutions (e.g. ERP, CRM, etc.)
 - 8.3.2.3. Availability & Reliability**
 - 99.9% uptime
 - Disaster recovery and redundancy
 - 8.3.2.4. Usability**
 - Simple, intuitive interface

- 8.3.2.5. Security**
 - Strong access control
 - Cybersecurity protections
- 8.3.2.6. Maintainability**
 - Easy updates and patches
 - API documentation
- 8.3.2.7. Success Criteria:**

The DMS:

- A. Should cover the document management needs of the Bank (scope of this project) at least 95%
- B. Should cover both inbound as well as outbound communications of the bank
- C. Should cover the needs of head quarter units, city and outlying branches as well as operations in records and archive unit of the Bank.
- D. Should be seamlessly integrated with existing and incoming solutions
- E. Strict adherence to data protection laws, NBE's regulations, other relevant laws and internal policies
- F. Should support fast and accurate document search using various tools
- G. User adoption rates must be 90% and above in 6 months
- H. 95% User proficiency should be ensured after the first two months trials and training
- I. Should help the bank to significantly reduce the document processing time (by 30%)
- J. Should help the bank to ensure ROI by reducing costs involved for stationary, printing, storage and archiving
- K. Should help the bank significantly reduce the paper based operations (by 75%)

9. TECHNICAL PROPOSAL

Bidders shall submit their Technical Proposals in separate wax sealed and stamped envelopes: The envelope containing the Technical Proposal should be clearly marked as **"Stage I - Technical Proposal – supply and implementation of DMS.**

The Technical Proposal shall at least include the following:

- L. Valid Business license and Authorization to sign.
- M. If any Joint Venture or consortium, then the bid must be single with the object of securing a single contract; authorized person must sign the bid and will be jointly and severally liable for the bid and any contract.

- N. Bidder's profile.
- O. Bidders relevant experience in implementing DMS solution showing the scope defined in this bid i.e., supply, implement and support.
- P. Testimonials letters including the successful accomplishment of similar project.
- Q. Reference sites where bidders have successfully implemented
- R. The qualifications and experience of persons who would work on the assignment including:
- The composition of the proposed team, and the roles of the team members.
 - Credentials showing the person's experience.
 - Recently updated and signed CVs of the proposed professional staff. Key information should include number of years working for the firm/entity, and tasks done in various assignments during the past years.
- S. Audited financial statement of the firm for latest two consecutive years.
- T. Methodology and Work Plan: The bidder should produce detailed methodology and work plan of the project from the design phase to post implementation showing the time, resource and task breakdown clearly with the milestones.
- U. Project Approach: This section should indicate a narrative description of the approach, plan, methodology, tools, and techniques to be used to accomplish the Project through Implementation from the detailed design and requirements through to final deliverables.
- V. Review and Re-Design Please note the requirements provided by the bank are guidance to bidders. Bidders can modify, completely change and re-design the plan by ensuring the scope defined meets the bank's requirements fully and scale in the future.
- W. Should submit a proof of concept (PoC) paper to ensure that the to be provided solution meet all success factors mentioned in this document and helps the Bank to decide on the GO/No-Go decisions.
- X. Prepare and list the detail bill of Materials (BOM) as per Annexure I for all the requirements.
- Y. All Bidders must attach Manufacturer Authorization Letter (MAF) for participating in this bid from the manufacturer of the product to supply, design and implement the solution. Any benchmark on the products proposed by known

technology/consulting/standard firms (Gartner, ISO, etc...) shall be provided along the bid response.

Z. 3-Year's support service post implementation: Bidder should explain how it plans to provide Zemen post implementation support. The warranty must commence after the system is commissioned and accepted by the bank.

AA. List down the documentations to be provided in each stage of the project i.e., supply, design, implementation and commission.

BB. Training and knowledge transfer: Operational and technical trainings on all the provided solution.

Note: - Bank may need to visit previous deployed sites to validate all the technical evaluation.

Part 3 Contract

Section 7. General Conditions of Contract

Procurement Reference Number: ZB/16/26

A. General Provisions

1. Definitions

1.1 The headings and titles of these General Conditions of Contract shall not limit, alter or affect the meaning of the Contract.

1.2 The following words and expressions shall have the meanings hereby assigned to them:

(a). "Authorized Officer"	means a person designated as such by the Bank from time to time as notified in writing to the Supplier to act as the representative of the Bank for all purposes connected with the Contract, including any authorized representative of such person;
(b). "Bankrupt"	means with respect to any entity, such entity (i) files a petition or otherwise commences, authorizes or acquiesces in the commencement of a proceeding or cause of action under any bankruptcy, insolvency, reorganization or similar law, or has any such petition filed or commenced against it, (ii) makes an assignment or any general arrangement for the benefit of creditors, (iii) otherwise becomes bankrupt or insolvent (however evidenced), (iv) has a liquidator, administrator, receiver, trustee, conservator or similar official appointed with respect to it or any substantial portion of its property or assets, or (v) is generally unable to pay its debts as they fall due;
(c). "Completion"	means the fulfilment of the Contract by the Supplier in accordance with the terms and conditions set forth in the Contract;

(d). "Contract Documents"	means the documents listed in the GCC, including all attachments, appendices, and all documents incorporated by reference therein, and shall include any amendments thereto;
(e). "Contract Manager"	means a person designated as such by the Supplier from time to time as notified in writing to the Bank to act as the duly authorized representative of the Supplier for all purposes connected with the Contract, including any authorized representative of such person;
(f). "Contract Price"	means the money payable by the Bank to the Supplier based on the Contract Agreement and shall include all royalties, license fees or similar expenses in respect of the making, use or exercise by the Supplier of any Intellectual Property or Intellectual Property Rights for the purpose of performing the Contract;
(g). "Contract"	means the binding Contract Agreement entered into between the Bank and the Supplier, comprising Contract Documents referred to therein, including all attachments, appendices, and all documents incorporated by reference therein,
(h). "Day"	means calendar day;
(i). "Delivery"	means the transfer of the Goods from the Supplier to the Bank in accordance with the terms and conditions set forth in the Contract;
(j). "Eligible Countries"	means the countries and territories eligible as listed in Section 5 of the Bidding Document;
(k). "General Conditions of Contract"	hereinafter referred to as "GCC", means the conditions in this section of the Contract, which shall govern the Contract, except where amended by the SCC or Contract Agreement;
(l). "Good Industry Practice"	means the exercise of that degree of skill, diligence and foresight which would reasonably and ordinarily be expected from a skilled and experienced supplier engaged in the provision of goods similar to the goods under the same or similar circumstances as those applicable to the Contract and which are in accordance with any codes of practice published by relevant trade associations;
(m). "Goods"	means raw material, products and equipment and commodities in solid, liquid or gaseous form, marketable software and live animals as well as installation, transport, maintenance or similar obligations related to supply of the goods if their value does not exceed that of the goods themselves; and "related services" includes services such as transportation, commissioning, insurance, installation, training, and initial maintenance;
(n). "Government"	means the Government of the Federal Democratic Republic of Ethiopia;
(o). "In writing"	shall be interpreted to include any document which is recorded in manuscript or typescript;
(p). "Liquidated damages"	means the compensation stated in the contract as being payable by Supplier to the Bank for failure to perform the contract or part thereof within the periods under the contract, or as payable by either party to the other for any specific breach identified in the contract;
(q). "Location"	means the location for the delivery of the Goods and Related Services as set out in the Contract or as otherwise agreed in writing between the Bank and the Supplier;
(r). "Party"	means the Bank or the Supplier and includes their permitted successors and "Parties" means both of them;

(s). "Bank"	means Zemen Bank S.C which has the powers and duties to conclude a Contract for the supply of Goods and Related Services, as specified in the SCC;
(t). "Purchase Order"	or acronym "PO" means an individual order for Goods and Related Services issued by Bank pursuant to the terms, conditions, and pricing established in a Contract. Each individual Purchase Order is a binding contractual instrument and will refer and incorporate the terms and conditions of this Contract and specify the goods to be supplied, delivery schedule, and price;
(u). "Related Services"	means the services incidental to the supply of the goods, such as insurance, installation, training and initial maintenance and other similar obligations of the Supplier under the Contract;
(v). "Special Conditions of Contract"	hereinafter referred to as "SCC", means the conditions attached to the Contract Agreement, which shall govern the Contract and shall prevail over these General Conditions of Contract;
(w). "Subcontract or"	means any natural person, private or government entity, or a combination of the above, including its legal successors or permitted assigns, to whom any part of the Goods to be supplied or execution of any part of the Related Services is subcontracted by the Supplier;
(x). "Supplier"	means a natural or juridical person under contract with a Bank to supply goods and related services.

2. Appointment

2.1 The Bank appoints the Supplier to supply the Goods and Related Services:

- (a). Promptly (and in any event within any time targets as may be set out in the Section 6, Statement of Requirements) and in a professional and courteous manner so as to reflect and promote the image of the Bank;
- (b). Strictly in accordance with the Statement of Requirements and all provisions of the Contract; and
- (c). In accordance with all applicable laws and regulations of the Federal Democratic Republic of Ethiopia and Good Industry Practice; and
- (d). In accordance with the policies, rules, and procedures of the appropriate Authority as amended from time to time.
- (e). In accordance with the quality standards set by the Quality and Standards Authority of Ethiopia (QSAE) and applicable international standards;
- (f). In accordance with the terms and conditions of appointment as provided in this Clause in consideration of the Contract Price.

3. Relationship of the Parties

- 3.1 The Supplier shall not incur any liabilities on behalf of the Bank or enter into any contract or obligation on behalf of the Bank.
- 3.2 The Supplier shall be an independent contractor performing the Contract. The Contract does not create any Bank, partnership, joint venture, or other joint relationship between the parties to the Contract.
- 3.3 Subject to the provisions of the Contract, the Supplier shall be solely responsible for the manner in which the Contract is performed. All employees, representatives, or Subcontractors engaged by the Supplier in connection with the performance of the Contract shall be under the complete control of the Supplier and shall not be deemed to be employees of the Bank, and nothing

contained in the Contract or in any subcontract awarded by the Supplier shall be construed to create any contractual relationship between any such employees, representatives, or Subcontractors and the Bank.

4. Due Diligence

4.1 The Supplier acknowledges that it:

- (a). Has made and shall make its own enquiries to satisfy itself as to the accuracy and adequacy of any information supplied to it by or on behalf of the Bank;
- (b). Has raised all relevant due diligence questions to the Bank before the Effective Date; and
- (c). Has entered into this Contract in reliance on its own due diligence alone.

4.2 Any disputes relating to due diligence shall be resolved in accordance with the Ethiopian Law.

5. Fraud and Corruption

5.1 The Bank defines, for the purposes of these provisions, the terms set forth below as follows:

- (a). “Corrupt practice” is the offering, giving, receiving or soliciting, directly or indirectly, of anything of value to influence the action of a public official in the procurement process or in contract execution, and
- (b). “Fraudulent practice” is any act or omission, including misrepresentation that knowingly or recklessly misleads, or attempts to mislead, a party to obtain financial or other benefit or to avoid an obligation.
- (c). “Collusive practices” is a scheme or arrangement between two or more Suppliers, with or without the knowledge of the Bank, designed to establish prices at artificial, noncompetitive levels, and
- (d). “Coercive practices” is harming or threatening to harm, directly or indirectly, persons or their property to influence their participation in a procurement process, or affect the execution of a contract.

5.2 The Bank will debar a Supplier from participation in Bank’s for a specified period of time if it at any time determines that the Supplier has engaged in corrupt, fraudulent, collusive, coercive or obstructive practices in competing for, or in executing, a contract.

5.3 The Bank reserves the right, where a Supplier has been found by a national or international entity to have engaged in corrupt or fraudulent practice, to declare that such a Supplier is ineligible, for a stated period of time, to be awarded a Government funded contract.

5.4 The Bank will have the right to require that, in contracts funded by the Government of Ethiopia, a provision be included requiring suppliers to permit the Bank to inspect their accounts and records relating to the performance of the contract and to have them audited by auditors appointed by the Bank, if the supplier engages in any corrupt practice.

5.5 Any communications between the Supplier and the Bank or the Bank related to matters of alleged fraud or corruption must be made in writing.

6. Interpretation

6.1 If the context so requires it, singular means plural and vice versa.

6.2 In these terms and conditions, words referring any particular gender include all other genders.

6.3 Incoterms

- (a). Unless otherwise specified in the SCC, the meaning of any trade term and the rights and obligations of parties thereunder shall be as prescribed by Incoterms.
- (b). DDP, EXW, CIF, CIP, and other similar terms, shall be governed by the rules prescribed in the current edition of Incoterms, published by the International Chamber of Commerce at the date of the Invitation for Bids or as specified in the SCC.

6.4 Entire Agreement

The Contract constitutes the entire agreement between the Bank and the Supplier and supersedes all communications, negotiations and agreements of parties with respect thereto made prior to the date of Contract.

6.5 Amendment

No amendment or other variation of the Contract shall be valid unless it is in writing, is dated, expressly refers to the Contract, and is signed by a duly authorized representative of each party thereto.

6.6 No waiver

- (a). Subject to GCC Sub-Clause 6.6(b) below, no relaxation, forbearance, delay, or indulgence by either party in enforcing any of the terms and conditions of the Contract or the granting of time by either party to the other shall prejudice, affect, or restrict the rights of that party under the Contract, neither shall any waiver by either party of any breach of Contract operate as waiver of any subsequent or continuing breach of Contract.
- (b). Any waiver of a party's rights, powers, or remedies under the Contract must be in writing, dated, and signed by an authorized representative of the party granting such waiver, and must specify the right and the extent to which it is being waived.

6.7 Severability

If any provision or condition of the Contract is prohibited or rendered invalid or unenforceable, such prohibition, invalidity or unenforceability shall not affect the validity or enforceability of any other provisions and conditions of the Contract.

B. The Contract

7. Contract Documents

- 7.1 The documents forming the Contract shall be interpreted in the following order of precedence in the event of any conflict between the documents comprising this Contract:
 - (a). Agreement;
 - (b). The Special Conditions of Contract;
 - (c). The General Conditions of Contract;
 - (d). Bid Submission Sheet with Annexes;
 - (e). Price Schedule;
 - (f). List of accepted items including their unit price;
 - (g). Bidder Certification of Compliance with Annexes;
 - (h). Technical Specification + Technical Offer + Compliance Sheet with Annexes;
 - (i). Any other document listed in the SCC as forming part of the Contract.

- 7.2 All documents forming the Contract are intended to be correlative, complementary, and mutually explanatory.
- 7.3 Any action required or permitted to be taken, and any document required or permitted to be provided, under the Contract by the Bank or the Supplier may be taken or provided by the authorized representatives specified in the SCC.
- 7.4 The Contract constitutes the entire agreement between the Bank and the Supplier and supersedes all communications, negotiations and agreements (whether written or oral) of parties with respect thereto made prior to the date of Contract. No agent or representative of either Party has authority to make, and the Parties shall not be bound by or be liable for, any statement, representation, promise or agreement not set forth herein.

8. Governing Law

- 8.1 The Contract shall be governed by and interpreted in accordance with the laws of the Federal Democratic Republic of Ethiopia, unless otherwise stated in SCC.

9. Language

- 9.1 The Contract as well as all written and oral communication and documents relating to the Contract exchanged by the Supplier and the Bank, shall be in English. Supporting documents and printed literature that are part of the Contract may be in another language, but any documents provided in another language must be accompanied by an accurate translation into English. For purposes of interpretation of the Contract, this translation shall govern.
- 9.2 The Supplier shall bear all costs of translation to the governing language and all risks of the accuracy of such translation.

10. Notices and written communications

- 10.1 Any notice, request or consent required or permitted to be given or made pursuant to this Contract shall be in writing. The term “in writing” means communicated in written form with proof of receipt.
- 10.2 Any such notice, request or consent shall be deemed to have been given or made when delivered in person to an authorized representative of the Party to whom the communication is addressed, or when sent to such Party at the address specified in the SCC.
- 10.3 A Party may change its address for notice hereunder by giving the other Party notice in writing of such change to the address specified in the SCC.

11. Authorized Officers

- 11.1 Any notice, information or communication given to or made by an Authorized Officer shall be deemed to have been given or made by the Bank.
- 11.2 The Supplier shall decline from supplying the Goods and Related Services to any of the Bank's staff who are not Authorized Officers.

12. Assignment

- 12.1 An assignment is a written agreement by which the Supplier transfers its contract or part thereof

to a third party.

- 12.2 The Supplier shall not, without the prior written consent of the Bank, assign the Contract or any part thereof, or any benefit or interest thereunder, except in the following cases.
- (a). A charge, in favor of the Supplier's, of any monies due or to become due under the Contract; or
 - (b). Assignment to the Supplier's insurers of the Supplier's right to obtain relief against any other person liable in cases where the insurers have discharged the Supplier's loss or liability.
- 12.3 With the exception of the carriage of Goods to the Location, the Supplier shall not sub-contract the production or supply of any Goods without the previous consent in writing of the Bank, such consent not to be unreasonably withheld or delayed.
- 12.4 For the purpose of GCC Clause 12.2 the approval of an assignment by the Bank shall not relieve the Supplier of its obligations for the part of the Contract already performed or the part not assigned.
- 12.5 If the Supplier has assigned his Contract without authorization, the Bank may, without giving formal notice thereof, apply as of right the sanctions for breach of Contract provided for in GCC Clauses 18 and 20.
- 12.6 Assignees must satisfy the eligibility criteria applicable for the award of the Contract and they can not be in any of the situations excluding them from participating in Contract.
- 12.7 Every assignment shall be subject to the provisions of this Contract and shall incorporate the terms and conditions of this Contract.

13. Subcontracting

- 13.1 A sub-contract shall be valid only if it is a written agreement by which the Supplier entrusts performance of a part of the Contract to a third party.
- 13.2 In the event the Supplier requires the related services of sub-contractors that are not included in the Contract, the Supplier shall obtain the prior written approval and clearance of Bank for all sub-contractors. The related services to be sub-contracted and the identity of the subcontractors shall be notified to the Bank. The Bank shall with due regard to the provisions of GCC Clause 10 within 15 days of receipt of the notification, notify the Supplier of its decision, stating reasons should he withhold such authorization.
- 13.3 The terms of any sub-contract shall be subject to and conform to the provisions of this Contract.
- 13.4 The Bank shall have no contractual relations with the Sub-Contractors.
- 13.5 Sub-contractors must satisfy the eligibility criteria applicable to the award of the contract and they cannot be in any of the situations excluding them from participating in contract.
- 13.6 The Supplier shall be responsible for the acts, defaults and negligence of his Sub-Contractors and their agents or employees, as if they were the acts, defaults or negligence of the Supplier, his agents or employees. The approval by the Bank of the sub-contracting of any part of the contract or of the Sub-Contractor to perform any part of the services shall not relieve the Supplier of any of his obligations under the contract.
- 13.7 If the Supplier enters into a subcontract without approval, the Bank may apply, as of right without giving formal notice thereof, the sanctions for breach of contract provided for in GCC Clauses 18 and 20.

- 13.8 If a Sub-Contractor is found by the Bank to be incompetent in discharging its duties, the Bank may request the Supplier forthwith, either to provide a Sub-Contractor with qualifications and experience acceptable to the Bank as a replacement, or to resume the implementation of the tasks itself.

14. Modifications and Contract Amendments

- 14.1 The Bank may at any time request the Supplier through notice in accordance GCC Clause 10, to make changes within the general scope of the Contract in any one or more of the following:
- (a). Drawings, designs, or specifications, where Goods to be furnished under the Contract are to be specifically manufactured for the Bank;
 - (b). The method of shipment or packing;
 - (c). The place of delivery; and
 - (d). The Related Services to be provided by the Supplier.
- 14.2 If any such change causes increase or decrease in the time required for, the Supplier's performance of any provisions under the Contract, an equitable adjustment shall be made in the Delivery/Completion Schedule, or both, and the Contract shall accordingly be amended. Any claims by the Supplier for adjustment under this Clause must be asserted within twenty-eight (28) days from the date of the Supplier's receipt of the Bank's change order.
- 14.3 Prices to be charged by the Supplier for any Related Services that might be needed but which were not included in the Contract shall be agreed upon in advance by the parties.
- 14.4 Any change to the terms of the Contract must be recorded in writing and executed by authorized signatory of the Supplier and the Authorized Officer. Such record of the change in question must address all consequential amendments required to be made to the Contract as a result of such change.
- 14.5 Changes will take effect as from the date specified in the signed record of change and shall not have retrospective effect unless expressly provided for in such record.
- 14.6 Each record of change must be dated and sequentially numbered. Each of the Bank and the Supplier will be entitled to an original executed counterpart of the record of variation.
- 14.7 Except as provided in any such record of variation, the Contract will continue in full force and effect.

15. Change in Laws and Regulations

- 15.1 Unless otherwise expressly agreed in the SCC, if, after the deadline for submission of the Bid, any law, regulation, ordinance, order or bylaw having the force of law is enacted, promulgated, abrogated, or changed in the Federal Democratic Republic of Ethiopia where the Site is located (which shall be deemed to include any change in interpretation or application by the competent authorities) that subsequently affects the Delivery Date and/or the Contract Price, then such Contract Price shall not be correspondingly increased or decreased and/or the Delivery Date shall not be adjusted to the extent that Supplier has thereby been affected in the performance of any of its obligations under the Contract.

16. Taxes and Duties

- 16.1 For goods supplied from outside the Federal Democratic Republic of Ethiopia, the Supplier shall

bear the costs of all taxes, custom duties, formalities, license fees, and other such levies imposed outside the Federal Democratic Republic of Ethiopia, unless otherwise specified in the SCC.

- 16.2 For goods supplied from within the Federal Democratic Republic of Ethiopia, the Supplier shall be entirely responsible for all taxes, duties, license fees, etc., incurred until delivery of the contracted Goods to the Bank, unless otherwise specified in the SCC.

17. Force Majeure

- 17.1 For the purposes of the Contract, “Force Majeure” shall mean an event or events which are beyond the reasonable control of a Supplier, and which makes a Supplier’s performance of its obligations hereunder impossible or so impractical as reasonably to be considered impossible in the circumstances, and includes:

- (a). An official prohibition preventing the performance of a contract,
- (b). A natural catastrophe such as an earthquake, fire, explosion lightening, floods, or other adverse weather conditions, or
- (c). International or civil war, or
- (d). The death or a serious accident or unexpected serious illness of the supplier, or
- (e). Other instances of Force Majeure identified as such by the civil code.

- 17.2 The following occurrences shall not be deemed to be cases of Force Majeure:

- (a). A strike or lock-out taking of a party or affecting the branch of business in which he carries out his activities, or
- (b). An increase or reduction in the price of raw materials necessary for the performance of the contract, or
- (c). The enactment of new legislation where by the obligations of the debtor becomes more onerous, or
- (d). Any event which is caused by the negligence or intentional action of a Supplier or such Supplier’s Subcontractors or agents or employees; or
- (e). Any event which a diligent Party could reasonably have been expected to both:
 - (i) Take into account from the effective date of the Contract; and
 - (ii) Avoid or overcome in the carrying out of its obligations; or
- (f). Insufficiency of budgets or failure to make any payment required hereunder.

- 17.3 The failure of a Supplier to fulfill any of its obligations hereunder shall not be considered to be a breach of, or default under, the Contract insofar as such inability arises from an event of Force Majeure, provided that the Supplier affected by such an event has taken all reasonable precautions, due care and reasonable alternative measures, all with the objective of carrying out the terms and conditions of the Contract.

- 17.4 A Supplier affected by an event of Force Majeure shall take all reasonable measures to

- (a). Remove such Supplier’s inability to fulfill its obligations hereunder with a minimum of delay; and
- (b). Minimize the consequences of any event of Force Majeure.

- 17.5 A Supplier affected by an event of Force Majeure shall notify the Bank of such event as soon as possible, and in any event not later than fourteen (14) days following the occurrence of such event, providing evidence of the nature and cause of such event, and shall similarly give notice of the restoration of normal conditions as soon as possible.

- 17.6 Not later than thirty (30) days after the Supplier, as the result of an event of Force Majeure, has become unable to supply the Goods and Related Services, the Parties shall consult with each other in good faith and use all reasonable endeavors to agree appropriate terms to mitigate the effects of the Force Majeure Event and facilitate the continued performance of the Contract..

18. Breach of Contract

- 18.1 Either party commits a breach of contract where it fails to discharge any of its obligations under the specific contract.
- 18.2 Where a breach of contract occurs, the party injured by the breach shall be entitled to the following remedies:
- (a). Compensation / Claim for liquidated damages as specified in GCC Clause 25; and/or
 - (b). Termination of the contract.
- 18.3 In any case, where the Bank is entitled to damages, it may deduct such Suspension damages from any sums due to the Supplier or call on the appropriate guarantee.

19. Suspension of Assignment

- 19.1 The Bank may, by written notice of suspension of the assignment to the Supplier, suspend all payments to the Supplier hereunder if the Supplier fails to perform any of its obligations under the Contract provided that such notice of suspension shall:
- (a). Specify the nature of the failure; and
 - (b). Request the Supplier to remedy such failure within a period not exceeding thirty (30) days after receipt by the Supplier of such notice of suspension.

20. Termination

- 20.1 Termination shall be without prejudice to any other rights or powers under the contract of the Bank and the Supplier.
- 20.2 In addition to the grounds for termination defined in these General Conditions, the Bank may, by not less than thirty days' written notice of termination to the Supplier stating the reason for termination of the contract and the date on which such termination becomes effective. (except in the event listed in paragraph (o) below, for which there shall be a written notice of not less than sixty days), such notice to be given after the occurrence of any of the events specified in GCC Sub-Clause 20.2 (a) to (o), terminate the Contract if:
- (a). The supplier fails to deliver any or all of the Goods or Related Services within the period specified in the Contract, or within any extension thereof granted by the Bank pursuant to GCC Clause 59 or if the Goods do not meet the technical specifications stated in the Contract;
 - (b). The Supplier fails to remedy a failure in the performance of their obligations as specified in a notice of suspension of assignment pursuant to GCC Clause 19 within thirty days of receipt of such notice of suspension of assignment or within such period other agreed between the Parties in writing;
 - (c). The Supplier becomes insolvent or bankrupt or enters into any agreements with its creditors for relief of debt or take advantage of any law for the benefit of debtors or go into liquidation or receivership whether compulsory or voluntary, other than for a reconstruction or amalgamation;
 - (d). The Supplier fails to comply with any final decision reached as a result of direct informal

- negotiation pursuant to GCC Sub-Clause 24.2 hereof;
- (e). The Supplier is unable as the result of Force Majeure, to perform a material portion of the Services for a period of not less than sixty days;
 - (f). The Supplier assigns the contract or sub-contracts without the authorization of the Bank;
 - (g). The Supplier has been guilty of grave professional misconduct proven by any means which the Bank can justify;
 - (h). The Supplier has been engaged in corrupt or fraudulent practices in competing for or in executing the Contract.
 - (i). Any organizational modification occurs involving a change in the legal personality, nature or control of the Supplier, unless such modification is recorded in an addendum to the Contract;
 - (j). Any other legal disability hindering performance of the Contract occurs;
 - (k). The Supplier fails to provide the required guarantees or insurance, or the person providing the underlying guarantee or insurance is not able to abide by its commitments.
 - (l). Where the procurement requirement of the Bank changes for any apparent or obvious reason;
 - (m). Where it emerges that the gap between the value of the Contract and the prevailing market price is so wide that allowing the implementation of the contract to proceed places the Bank concerned at a disadvantage;
 - (n). The Bank, in its sole discretion and for any reason whatsoever, decides to terminate the Contract.
 - (o). The accumulated liquidated damage reached its maximum as stated in GCC Clause 25.1(b).
- 20.3 The Supplier may, by not less than thirty days' written notice to the Bank, of such notice to be given after the occurrence of any of the events specified in GCC Sub-Clause 20.3 (a) to (d) terminate the Contract if:
- (a). The Bank fails to pay any money due to the Supplier pursuant to the Contract and not subject to dispute pursuant to GCC Clause 24, within forty-five days after receiving written notice from the Supplier that such payment is overdue;
 - (b). The Bank is in material breach of its obligations pursuant to the Contract and has not remedied the same within forty-five days (or such longer period as the Supplier may have subsequently approved in writing) following the receipt by the Bank of the Supplier's notice specifying such breach;
 - (c). The Supplier is unable as the result of Force Majeure, to perform a material portion of the Services for a period of not less than sixty days; or
 - (d). The Bank fails to comply with any final decision reached as a result of settlement of disputes pursuant to GCC Clause 24 hereof.
- 20.4 If either Party disputes whether an event specified GCC Sub-Clauses 20.2 (a) to (n) or GCC Sub-Clause 20.3 has occurred, such Party may, within forty-five days after receipt of notice of termination from the other Party, refer the matter to settlement of disputes pursuant to GCC Clause 24 and the Contract shall not be terminated on account of such event except in accordance with the terms of any resolution award.
- 20.5 In the event the Bank terminates the Contract pursuant to the GCC Sub-Clause 20.2 (a) to (n) the Bank may procure, upon such terms and in such manner as it deems appropriate, Goods or Related Services similar to those undelivered or not performed, and the Supplier shall be liable to the Bank for any additional costs for such similar Goods or Related Services. However, the Supplier shall continue performance of the Contract to the extent not terminated.
- 20.6 If the Bank terminates the Contract in the event specified in GCC Sub-Clause 20.2 (o) the notice

of termination shall specify that termination is for the Bank's convenience, the extent to which performance of the Supplier under the Contract is terminated, and the date upon which such termination becomes effective.

- 20.7 If the Bank terminates the Contract in the event specified in GCC Sub-Clause 20.2 (o) the Goods that are complete and ready for shipment within twenty-eight (28) days after the Supplier's receipt of notice of termination shall be accepted by the Bank at the Contract terms and prices. For the remaining Goods, the Bank may elect:
- (i) To have any portion completed and delivered at the Contract terms and prices; and/or
 - (ii) To cancel the remainder and pay to the Supplier an agreed amount for partially completed Goods and Related Services and for materials and parts previously procured by the Supplier.
- 20.8 In the event the Bank terminates the Contract pursuant to the GCC Sub-Clause 20.2 (c) termination will be without compensation to the Supplier, provided that such termination will not prejudice or affect any right of action or remedy that has accrued or will accrue thereafter to the Bank.
- 20.9 In the event of any termination by the Bank under this Clause, for the avoidance of doubt, the Supplier will not be restricted from making any claim in respect of the Contract Price to the extent the Contract Price is outstanding and due and payable.

21. Arrangements on Termination

- 21.1 The Bank and the Supplier agree that termination or expiry of the Contract shall not affect either Party's obligations which the Contract provides shall survive the expiration or termination of the Contract.
- 21.2 After termination or expiry all data, documents and records (whether stored electronically or otherwise) relating in whole or in part to the supplied Goods and Related Services shall be delivered by the Supplier to the Bank provided that the Supplier shall be entitled to keep copies thereof to the extent that the information contained therein does not relate solely to the Goods and Related Services or to the extent that the Supplier is required by law to maintain copies thereof or to the extent that the Supplier was possessed of such data documents and records prior to the date of the Contract. In addition, the Supplier shall co-operate fully with the Bank during the handover leading to the termination of the Contract. This co-operation shall extend to full access to all documents, reports, summaries and any other information required to achieve an effective transition without disruption to routine operational requirements.

22. Cessation of Rights and Obligations

- 22.1 Upon termination of the Contract pursuant to GCC Clauses 20, or upon completion of the Contract, all rights and obligations of the Parties hereunder shall cease, except
- (a). Such rights and obligations as may have accrued on the date of termination or expiration;
 - (b). The Supplier's obligation to permit inspection, copying and auditing of their accounts and records set forth in GCC Clause 44; and
 - (c). Any right which a Party may have under the Governing Law
 - (d). The warranty right provided for under Clause 23.

23. Warranty

- 23.1 The Supplier warrants that all the Goods are new, unused, and of the most recent or current models, and that they incorporate all recent improvements in design and materials, unless provided otherwise in the Contract.
- 23.2 Subject to GCC Sub-Clause 49.1, the Supplier further warrants that the Goods shall be free from defects arising from any act or omission of the Supplier or arising from design, materials, and workmanship, under normal use in the conditions prevailing in the country of final destination.
- 23.3 Unless otherwise specified in the SCC, the warranty shall remain valid for twelve (12) months after the Goods, or any portion thereof as the case may be, have been delivered to and accepted at the final destination indicated in the GCC Clause 50.1.
- 23.4 The Bank shall give notice to the Supplier stating the nature of any such defects together with all available evidence thereof, promptly following the discovery thereof. The Bank shall afford all reasonable opportunity for the Supplier to inspect such defects.
- 23.5 Upon receipt of such notice, the Supplier shall, within the period specified in the SCC, expeditiously repair or replace the defective Goods or parts thereof, at no cost to the Bank.
- 23.6 The Supplier shall be responsible for all necessary transportation charges required to ship defective commodities to the manufacturer and then return them to the Bank.
- 23.7 If having been notified, the Supplier fails to remedy the defect within the period specified in the SCC Clause 23.5, the Bank may proceed to take within a reasonable period such remedial action as may be necessary, at the Supplier's risk and expense and without prejudice to any other rights which the Bank may have against the Supplier under the Contract.

24. Settlement of Disputes

- 24.1 During any dispute, including a dispute as to the validity of the Contract, it is mutually agreed that the Supplier shall continue its performance of the provisions of the Contract (unless the Bank requests in writing that the Supplier does not do so).
- 24.2 The Bank and the Supplier shall make every effort to resolve amicably by direct informal negotiation any disagreement, controversy or dispute arising between them under or in connection with the Contract or interpretation thereof.
- 24.3 If a dispute arises between the Bank and the Supplier in relation to any matter which cannot be resolved by the Authorized Officer and the Supplier Contract Manager either of them may refer such dispute to the procedure described in ITB Sub-Clause 24.4.
- 24.4 In the second instance each of the Bank and the Supplier shall appoint more senior representatives than those referred to in Sub-Clause 24.3 to meet solely in order to resolve the matter in dispute. Such meeting(s) shall be minutes and shall be chaired by the Bank (but the chairman shall not have a casting vote). Such meeting(s) shall be conducted in such manner and at such venue (including a meeting conducted over the telephone) as to promote a consensual resolution of the dispute in question at the discretion of the chairman.
- 24.5 If the Parties fail to resolve such a dispute or difference amicably within twenty-eight (28) days from the commencement of such procedure, either party may require that the dispute be referred for resolution through the courts in accordance with Ethiopian Law.
- 24.6 Only those Contracting Authorities that are allowed by law to proceed to arbitration can do so.

25. Liquidated Damages

- 25.1 Except as provided under GCC Clause 17, if the Supplier fails to deliver any or all of the Goods or perform the Related Services within the period specified in the Contract, the Bank may without prejudice to all its other remedies under the Contract, deduct from the Contract Price, as liquidated damages the following:
- (a). A penalty of 0.1% or 1/1000 of the value of undelivered item for each day of delay until actual delivery or performance,
 - (b). The cumulative penalty to be paid by the supplier shall not exceed 10% of the contract price.
- 25.2 If the delay in performing the contract affects its activities, the Bank may terminate the contract by giving advance notice to the Supplier pursuant to GCC Clause 20 without any obligation to wait until the penalty reaches 10% of the value of the Contract.

26. Confidentiality

- 26.1 The Bank and the Supplier shall keep confidential and shall not disclose to any third party any documents, data, or other information furnished directly or indirectly by the other party hereto in connection with the Contract, whether such information has been furnished prior to, during or following completion or termination of the Contract if their disclosure would be contrary to law, would impede law enforcement, would not be in public interest, would prejudice legitimate commercial interest of the parties or would inhibit fair competition.. Notwithstanding the above, the Supplier may furnish to its Subcontractor such documents, data, and other information it receives from the Bank to the extent required for the Subcontractor to perform its work under the Contract, in which event the Supplier shall obtain from such Subcontractor an undertaking of confidentiality similar to that imposed on the Supplier under this Clause.
- 26.2 The Bank shall not use such documents, data, and other information received from the Supplier for any purposes unrelated to the Contract. Similarly, the Supplier shall not use such documents, data, and other information received from the Bank for any purpose other than supply of the Goods and Related Services required for the performance of the Contract.
- 26.3 The obligation of a party under this Clause, however, shall not apply to any Confidential Information that:
- (a). The Bank or Supplier need to share with any other institutions participating in the financing of the Contract;
 - (b). Now or hereafter enters the public domain other than by breach of the Contract or other act or omissions of that Party;
 - (c). Is obtained by a third party who is lawfully authorized to disclose such information;
 - (d). Can be proven to have been possessed by that party at the time of disclosure and which was not previously obtained, directly or indirectly, from the other party; or
 - (e). Is authorized for release by the prior written consent of the other party.
- 26.4 The Parties shall not be prevented from using any general knowledge, experience or skills which were in their possession prior to the commencement of the Contract;
- 26.5 The Supplier authorizes the Bank to disclose the Confidential Information to such person(s) as may be notified to the Supplier in writing by the Bank from time to time to the extent only as is necessary for the purposes of auditing and collating information so as to ascertain a realistic market price for the goods supplied in accordance with the Contract, such exercise being commonly referred to as "benchmarking". The Bank shall use all reasonable endeavors to ensure

that such person(s) keeps the Confidential Information confidential and does not make use of the Confidential Information except for the purpose for which the disclosure is made. The Bank shall not without good reason claim that the lowest price available in the market is the realistic market price.

26.6 The Supplier agrees that:

- (a). Subject to Sub-Clause 26.6 (b), the decision on whether any exemption applies to a request for disclosure of recorded information is a decision solely for the Bank;
- (b). Where the Bank is managing a request as referred to in Sub-Clause 26.6 (a), the Supplier shall co-operate with the Bank making the request and shall respond within five (5) working days of any request by it for assistance in determining how to respond to a request for disclosure.

26.7 The Supplier shall and shall procure that its Subcontractors shall provide the Bank with a copy of all information in its possession or power in the form that the Bank requires within five (5) working days (or such other period as the Bank may specify) of the Bank requesting that Information.

26.8 The Bank may consult the Supplier in relation to any request for disclosure of the Supplier's Confidential Information in accordance with all applicable guidance.

26.9 The above provisions of this Clause shall not in any way modify any undertaking of confidentiality given by either of the parties hereto prior to the date of the Contract.

26.10 This Clause 26 shall remain in force without limit in time in respect of Confidential Information which comprises Personal Data. Except as aforesaid and unless otherwise expressly set out in the Contract, this Clause 26 shall remain in force for a period of 3 years after the termination or expiry of this Contract.

26.11 In the event that the Supplier fails to comply with this Clause 26, the Bank reserves the right to terminate the Contract by notice in writing with immediate effect.

27. Copyright

27.1 The copyright in all drawings, documents, and other materials containing data and information furnished to the Bank by the Supplier herein shall remain vested in the Supplier, or, if they are furnished to the Bank directly or through the Supplier by any third party, including suppliers of materials, the copyright in such materials shall remain vested in such third party.

28. Miscellaneous

28.1 Any decision, act or thing that the Bank is required or authorized to take or do under the Contract may be taken or done by any person authorized, either generally or specifically, by the Bank to take or do that decision, act or thing, provided that upon receipt of a written request the Bank shall inform the Supplier of the name of any person so authorized.

28.2 The Supplier may from time to time upon the request of the Bank, execute any additional documents and do any other acts or things which may reasonably be required to implement the provisions of the Contract.

28.3 Any provision of the Contract which is held to be invalid or unenforceable in any jurisdiction shall be ineffective to the extent of such invalidity or unenforceability without invalidating or rendering unenforceable the remaining provisions hereof and any such invalidity or unenforceability in any jurisdiction shall not invalidate or render unenforceable such provisions in

any other jurisdiction.

- 28.4 The failure by the Bank and Supplier to insist upon the strict performance of any provision, term or condition of the Contract or to exercise any right or remedy consequent upon the breach thereof shall not constitute a waiver of any such breach or any subsequent breach of such provision, term or condition.
- 28.5 Each Party shall bear its own expenses in relation to the preparation, execution and implementation of the Contract including all costs legal fees and other expenses so incurred.
- 28.6 The Supplier warrants represents and undertakes to the Bank that there are no pending or threatened actions or proceedings before any court or administrative Bank which would materially adversely affect the financial condition, business or operations of the Supplier and that there are no material contracts existing to which the Supplier is a party which prevent it from entering into the Contract; and that the Supplier has satisfied itself as to the nature and extent of the risks assumed by it under the Contract and gathered all information necessary to perform its obligations under the Contract and all other obligations assumed by it.
- 28.7 The rights and remedies provided in the Contract are cumulative and not exclusive of any rights or remedies provided by any other contract or document. In this provision, "right" includes any power, privilege, remedy, or proprietary or security interest.

C. Obligations of the Bank

29. Provision of Assistance

- 29.1 Unless otherwise indicated in SCC, whenever the supply of Goods and Related Services requires that the Supplier obtain permits, approvals, and import, the Bank shall, if so required by the Supplier, make its best effort to assist the Supplier in complying with such requirements in a timely and expeditious manner.
- 29.2 The Bank shall pay all costs involved in the performance of its responsibilities, in accordance with GCC Sub-Clause 29.1.

D. Payment

30. Contract Price

- 30.1 Prices charged by the Supplier for the Goods delivered and the Related Services performed under the Contract shall not vary from the prices quoted by the Supplier in its bid.
- 30.2 The Contract Price shall be net i.e. after the deduction of all agreed discounts. In the absence of written agreement by the Parties to the contrary, the Contract Price shall include the cost of packaging, packing materials, addressing, labeling, loading and delivery to the Location, and all appropriate tax and duty.
- 30.3 Except as provided in GCC Sub-Clause 15.1, the Contract price may only be increased above amounts stated in GCC Sub-Clause 30.1 if the Parties have agreed to additional payments in accordance with GCC Clause 14.

31. Price Adjustments

- 31.1 Contracts Prices shall be fixed throughout the Supplier's performance of the Contract and not subject to adjustment on any account.

- 31.2 This provision remains in effect for the duration of the contract once it becomes effective.
- 31.3 Any discount offered by the Supplier under this Contract cannot be reduced during the Term of this Contract without the agreement in writing of the Bank.

32. Mode of Billing and Terms of Payment

- 32.1 In consideration of the Supplier's due and proper performance of its obligations under the Contract, the Supplier may charge the Bank the Contract Price in accordance with this Clause.
- 32.2 The Supplier's request for payment shall be made to the Bank in writing, accompanied by an invoice. Invoices shall not be rendered by the Supplier until completion of delivery of all of the Goods which are the subject of the Purchase Order unless otherwise agreed in writing. Where the Parties agree delivery by installments, the Supplier may render an invoice for each delivered installment.
- 32.3 An invoice is correctly rendered if:
- (a). The invoice is addressed to the Bank's specified in the Purchase Order to receive invoices and identifies the number of relevant Purchase Order and Contract;
 - (b). The invoice includes date of issuance and its serial number;
 - (c). The amount claimed in the invoice is due for payment;
 - (d). The amount specified in the invoice is correctly calculated in accordance with the Contract;
 - (e). The invoice is set out in a manner that enables the Bank to ascertain which Goods or Service the invoice covers (description, quantity, and unit of measure) and the respective Price, or Charge payable in respect of that Goods or Service;
 - (f). The invoice is accompanied by the relevant Certificate of Acceptance signed by the Bank's official representative certifying that the amount specified in the invoice is in accordance with the Contract and delivered Goods or Services meet all Purchase Order and acceptance criteria requirements;
 - (g). The invoice includes the name and address of Supplier to whom payment is to be sent;
 - (h). The invoice includes the name, title, and phone number of person to notify in the event of defective invoice;
 - (i). The invoice includes Supplier's bank account information, and
 - (j). The invoice is, where appropriate, certified as sales tax exempt.
- Failure to provide such information will entitle the Bank to delay payment of the Contract Price until such information is provided.
- 32.4 The Bank shall pay the Contract Price to the Supplier, within the period specified in the SCC and upon receipt of the Goods and valid invoice (rendered in accordance with Sub-Clause 32.3.
- 32.5 All payment to the Supplier under this Contract shall be made in currency specified in the SCC.
- 32.6 The invoice provided to the Bank by the Supplier in accordance with this Clause shall show appropriate taxes separately.
- 32.7 The Bank shall not be responsible for the payment of any charges for Goods supplied in excess of the Goods required by the Purchase Order or any variation of it unless authorized in writing by a further Purchase Order.
- 32.8 No payment of or on account of the Contract Price shall constitute any admission by the Bank as to proper performance by the Supplier of its obligations.

- 32.9 If the Supplier requests an advance payment the advance may be paid by the Bank which amount specified in SCC.
- 32.10 If there is non-performance of the contract or in case of partial performance, the supplier shall pay interest at 16.5% per annum on the advance payment from the date of advance until fully settled the advance payment
- 32.11 As a prerequisite for such advance payment supplier shall submit advance payment security in an amount equal to the advance payment it receives in the form of a certified cheque or unconditional bank guarantee at its option from a reputable bank, together with its request for advance payment as per the contract.
- 32.12 Should the advance payment security cease to be valid and the Supplier fails to re-validate it, a deduction equal to the amount of the advance payment may be made by the Bank from future payments due to the Supplier under the Contract.
- 32.13 If a Contract is terminated for any reason, the guarantee securing the advance payment may be invoked in order to recover the balance of the advance payment still owed by the Supplier.

33. Forms

- 33.1 Unless otherwise agreed in writing by the Bank and the Supplier:
- (a). a delivery note shall accompany each delivery of the Goods;
 - (b). an invoice shall be rendered on the Supplier's own invoice form;
 - (c). all delivery notes and invoices shall be clearly marked with the Bank's purchase order number, the name and address of the Bank and the description and quantity of the Goods, and shall show separately any additional charge for containers and/or any other item not included in the Contract Price or, where no charge is made, whether the containers are required to be returned.
- 33.2 Sub-Clause 33.1 shall be compatible in all respects with the Contract.
- 33.3 With the prior written agreement of the Parties, the arrangements set out in Sub-Clause 33.1 may be suspended in favor of alternative arrangements (including new logistics processes).

E. Obligations of the Supplier

34. Supplier's Responsibilities

- 34.1 The Supplier shall supply all the Goods and Related Services included in the Scope of Supply in accordance with GCC Clause 49, and the Delivery and Completion Schedule, as per GCC Clause 51.

35. Joint Venture, Consortium or Association

- 35.1 If the Supplier is a joint venture, consortium, or association, all of the parties shall be jointly and severally liable to the Bank for the fulfilment of the provisions of the Contract and shall designate one party to act as a leader with authority to bind the joint venture, consortium, or association. The composition or the constitution of the joint venture, consortium, or association shall not be altered without the prior consent of the Bank.

36. Eligibility

- 36.1 All Goods and Services supplied under the Contract shall have their origin in an eligible country pursuant to Section 5.
- 36.2 For purposes of this Clause, “origin” means the place where the Goods were mined, grown, or produced, or from which the Services are supplied. Goods are produced when, through manufacturing, processing, or substantial and major assembly of components, a commercially recognized new product results that is substantially different in basic characteristics or in purpose or utility from its components.
- 36.3 The origin of Goods and Services is distinct from the nationality of the Supplier.

37. Code of Conduct

- 37.1 The Supplier shall, at all times, act loyally and impartially and as a faithful adviser to the Bank in accordance with the rules and/or code of conduct of its profession as well as with appropriate discretion. The Supplier shall, in particular, at all times refrain from making any public statements concerning the Goods and Related Services without the prior approval of the Bank, and from engaging in any activity which conflicts with its obligations towards the Bank under the contract. It shall not commit the Bank without its prior written consent, and shall, where appropriate, make this obligation clear to third parties.
- 37.2 If the Supplier or any of its Subcontractors, personnel, agents or servants offers to give or agrees to offer or to give or gives to any person, any bribe, gift, gratuity or commission as an inducement or reward for doing or forbearing to do any act in relation to the contract or any other contract with the Bank, or for showing favor or disfavor to any person in relation to the contract or any other contract with the Bank, then the Bank may terminate the contract, without prejudice to any accrued rights of the Supplier under the contract.
- 37.3 The payments to the Supplier under the contract shall constitute the only income or benefit it may derive in connection with the contract and neither it nor its personnel shall accept any commission, discount, allowance, indirect payment or other consideration in connection with, or in relation to, or in discharge of, its obligations under the contract.
- 37.4 The Supplier shall not have the benefit, whether directly or indirectly, of any royalty, gratuity or commission in respect of any patented or protected article or process used in or for the purposes of the contract or the project, without the prior written approval of the Bank.
- 37.5 The Supplier and its staff shall maintain professional secrecy, for the duration of the contract and after completion thereof. In this connection, except with the prior written consent of the Bank, neither the Supplier nor the personnel employed or engaged by it shall at any time communicate to any person or entity any confidential information disclosed to them or discovered by them, or make public any information as to the recommendations formulated in the course of or as a result of the services. Furthermore, they shall not make any use prejudicial to the Bank, of information supplied to them and of the results of studies, tests and research carried out in the course and for the purpose of performing the contract.
- 37.6 The execution of the contract shall not give rise to unusual commercial expenses. If such unusual commercial expenses emerge, the contract will be terminated. Unusual commercial expenses are commissions not mentioned in the contract or not stemming from a properly concluded contract referring to the contract, commissions not paid in return for any actual and legitimate service, commissions remitted to a tax haven, commissions paid to a recipient who is not clearly identified

or commission paid to a company which has every appearance of being a front company.

- 37.7 The Supplier shall supply to the Bank on request supporting evidence regarding the conditions in which the contract is being executed. The Bank may carry out whatever documentary or on-the-spot checks it deems necessary to find evidence in case of suspected unusual commercial expenses.

38. Conflict of Interests

- 38.1 The Supplier shall take all necessary measures to prevent or end any situation that could compromise the impartial and objective performance of the Contract. Such conflict of interests could arise in particular as a result of economic interest, family or emotional ties, or any other relevant connection or shared interest. Any conflict of interests, which could arise during performance of the Contract, must be notified in writing to the Bank without delay.
- 38.2 The Bank reserves the right to verify that such measures are adequate and may require additional measures to be taken if necessary. The Supplier shall ensure that its staff, including its management, is not placed in a situation, which could give rise to conflict of interests. Without prejudice to Clause 24, the Supplier shall replace, immediately and without compensation from the Bank, any member of its staff exposed to such a situation.
- 38.3 The Supplier shall refrain from any contact, which would compromise its independence or that of its personnel. If the Supplier fails to maintain such independence, the Bank may without prejudice to compensation for any damage, which it may have suffered on this account, terminate the contract forthwith, without giving formal notice thereof.
- 38.4 The Supplier shall, after the conclusion or termination of the contract, limit its role in connection to the provision of the Goods and Related Services. Except with the written permission of the Bank, the Supplier and any other supplier with whom the Supplier is associated or affiliated shall be disqualified from the execution of works, goods or other services for the Bank in any capacity.

39. Patent Indemnity

- 39.1 The Supplier shall, subject to the Bank's compliance with GCC Sub-Clause 39.2, indemnify and hold harmless the Bank and its employees and officers from and against any and all suits, actions or administrative proceedings, claims, demands, losses, damages, costs, and expenses of any nature, including attorney's fees and expenses, which the Bank may suffer as a result of any infringement or alleged infringement of any patent, utility model, registered design, trademark, copyright, or other intellectual property right registered or otherwise existing at the date of the Contract by reason of:

- (a). The use of the Goods in the Federal democratic Republic of Ethiopia; and
- (b). The sale in any country of the Goods manufactured by the Supplier.

Such indemnity shall not cover any use of the Goods or any part thereof other than for the purpose indicated by or to be reasonably inferred from the Contract, neither any infringement resulting from the use of the Goods or any part thereof, or any products produced thereby in association or combination with any other equipment, plant, or materials not supplied by the Supplier, pursuant to the Contract.

- 39.2 If any proceedings are brought or any claim is made against the Bank arising out of the matters referred to in GCC Sub-Clause 39.1, the Bank shall promptly give the Supplier a notice thereof, and the Supplier may at its own expense and in the Bank's name conduct such proceedings or claim and any negotiations for the settlement of any such proceedings or claim.

- 39.3 If the Supplier fails to notify the Bank within twenty-eight (28) days after receipt of such notice that it intends to conduct any such proceedings or claim, then the Bank shall be free to conduct the same on its own behalf.
- 39.4 The Bank shall, at the Supplier's request, afford all available assistance to the Supplier in conducting such proceedings or claim, and shall be reimbursed by the Supplier for all reasonable expenses incurred in so doing.
- 39.5 The Bank shall indemnify and hold harmless the Supplier and its employees, officers, and Subcontractors from and against any and all suits, actions or administrative proceedings, claims, demands, losses, damages, costs, and expenses of any nature, including attorney's fees and expenses, which the Supplier may suffer as a result of any infringement or alleged infringement of any patent, utility model, registered design, trademark, copyright, or other intellectual property right registered or otherwise existing at the date of the Contract arising out of or in connection with any design, data, drawing, specification, or other documents or materials provided or designed by or on behalf of the Bank.

40. Limitation of Liability

- 40.1 Except in cases of criminal negligence or wilful misconduct,
- (a). The Supplier shall not be liable to the Bank, whether in contract, tort, or otherwise, for any indirect or consequential loss or damage, loss of use, loss of production, or loss of profits or interest costs, provided that this exclusion shall not apply to any obligation of the Supplier to pay liquidated damages to the Bank and
 - (b). The aggregate liability of the Supplier to the Bank, whether under the Contract, in tort or otherwise, shall not exceed the total Contract Price as stated in the SCC, provided that this limitation shall not apply to the cost of repairing or replacing defective equipment, or to any obligation of the supplier to indemnify the Bank with respect to patent infringement.

41. Intellectual Property

- 41.1 Subject to Clause 40, the Supplier agrees to indemnify and keep indemnified the Bank against any costs, claims, proceedings, expenses and demands arising from the use, application, supply or delivery of any process, article, matter or thing supplied under the Contract that would constitute or is alleged to constitute any infringement of any person's Intellectual Property Rights.

42. Insurance

- 42.1 Unless otherwise specified in the SCC, the Goods supplied under the Contract shall be fully insured, in a freely convertible currency, against loss or damage incidental to manufacture or acquisition, transportation, storage, and delivery, in accordance with the applicable Incoterms.

43. Product Information

- 43.1 The Supplier shall provide the Bank the Product Information in such manner and upon such media as agreed between the Supplier and the Bank from time to time for the sole use by the Bank.
- 43.2 The Supplier warrants that the Product Information is complete and accurate as at the date upon which it is delivered to the Bank and that the Product Information does not contain any data or statement which gives rise to any liability on the part of the Bank following publication of the same in accordance with this Clause.

- 43.3 In the event the Product Information ceases to be complete and accurate, the Supplier shall promptly notify the Bank in writing of any modification or addition to or any inaccuracy or omission in the Product Information.
- 43.4 The Supplier grants the Bank a non-exclusive royalty free license in perpetuity to use and exploit the Product Information and any Intellectual Property therein for the purpose of illustrating the range of goods and services (including, without limitation, the Goods) available pursuant to the Bank contracts from time to time. No right to illustrate or advertise the Product Information is granted to the Supplier by the Bank as a consequence of the license conferred by this Sub-Clause or otherwise under the terms of this Contract.
- 43.5 The Bank may reproduce for its sole use the Product Information provided by the Supplier in the Bank's catalogue from time to time which shall be made available in electronic format or made available on the Bank's external website or any other electronic media of the Bank from time to time.
- 43.6 Before any publication of the Product Information (electronic or otherwise) is made by the Bank, the Bank will submit a copy of the relevant sections of the Bank's catalogue to the Supplier for approval, such approval not to be unreasonably withheld or delayed. For the avoidance of doubt the Supplier shall have no right to compel the Bank to exhibit the Product Information in any service catalogue as a result of the approval given by it pursuant to this Sub-Clause or otherwise under the terms of this Contract.
- 43.7 Subject to Clauses 40 and 43.8, the Supplier agrees to indemnify and keep indemnified the Bank against any liability, loss, costs, expenses, claims or proceedings whatsoever arising out of or in connection with any statement relating to the goods and services (including, without limitation, the Goods) or information or material on or description of the goods and services (including, without limitation, the Goods) provided by or on behalf of the Supplier which is included in the Bank's catalogue or any associated material produced by the Bank for the purpose of illustrating the range of goods and services (including, without limitation, the Goods) available pursuant to the Bank contracts from time to time.
- 43.8 The Supplier shall not be required to indemnify or keep indemnified the Bank against any liability, loss, costs, expenses, claims or proceedings whatsoever arising under Sub-Clause 43.7 as a result of the Bank's willful or negligent misrepresentation of any statement relating to the goods and services (including, without limitation, the Goods) or information or material on or description of the goods and services (including, without limitation, the Services) provided by or on behalf of the Supplier which is included in the Bank's catalogue from time to time or any associated material produced by the Bank for the purpose of illustrating the range of goods and services (including, without limitation, the Goods) available pursuant to the Bank contracts from time to time.

44. Accounting, Inspection and Auditing

- 44.1 The Supplier shall keep accurate and systematic accounts and records in respect of the Goods and Related Services hereunder, in accordance with internationally accepted accounting principles and in such form and detail as will clearly identify all relevant time charges and costs.
- 44.2 For the purpose of the examination and certification of the Bank's accounts; or any examination of the economy, efficiency and effectiveness with which the Bank has used its resources, auditors may examine such documents as he may reasonably require which are owned, held or otherwise within the control of the Supplier and may require the Supplier to produce such oral or written explanation as he considers necessary. The Supplier acknowledges that it will fully cooperate with any counter fraud policy or investigation carried out by authorized body at any time.

45. Data Protection

- 45.1 The Supplier shall comply with all applicable data protection legislation. In particular, the Supplier agrees:
- (a). To maintain appropriate technical and organizational security measures;
 - (b). To only process Personal Data for and on behalf of the Bank, in accordance with the instructions of the Bank and for the purpose of performing its obligations under the Contract;
 - (c). To allow the Bank to audit the Supplier's compliance with the requirements of this Clause on reasonable notice and/or to provide the Bank with evidence of its compliance with the obligations set out in this Clause.
- 45.2 The Supplier agrees to indemnify and keep indemnified the Bank against all claims and proceedings and all liability, loss, costs and expenses incurred in connection therewith by the Bank as a result of any claim made or brought by any individual or other legal person in respect of any loss, damage or distress caused to that individual or other legal person as a result of the Supplier's unauthorized processing, unlawful processing, destruction of and/or damage to any Personal Data processed by the Supplier, its employees or agents in the Supplier's performance of the Contract or as otherwise agreed between the Parties.

46. Review

- 46.1 The Supplier shall attend formal review meetings (each such meeting being a "Review"), as required by the Authorized Officer, to discuss the Bank's levels of satisfaction in respect of the Goods and Related Services supplied under the Contract and to agree any necessary action to address areas of dissatisfaction. The Supplier will not obstruct or withhold its agreement to any such necessary action. Such Reviews shall be attended by duly authorized and sufficiently senior employees of both the Bank and the Supplier together with any other relevant attendees. The Parties shall agree a standing agenda for such Reviews.

47. Performance Security

- 47.1 The Supplier shall, within fifteen (15) days from signing the contract, provide a Performance Security for the due performance of the Contract in the amount specified in the SCC.
- 47.2 The proceeds of the Performance Security shall be payable to the Bank as compensation for any loss resulting from the Supplier's failure to complete its obligations under the Contract.
- 47.3 The Performance Security shall be denominated in currency specified in the SCC, and shall be in the form of cash, cheque certified by a reputable bank, letter of credit, or Bank Guarantee in the format specified in the SCC.
- 47.4 The Performance Security shall be discharged by the Bank and returned to the Supplier not later than twenty-eight (28) days following the date of completion of the Supplier's performance obligations under the Contract, including any warranty obligations, unless specified otherwise in the SCC.
- 47.5 Notwithstanding the provision of Sub-Clause 47.2 above, the Performance Security may be returned to the Supplier where the Procurement Committee ascertains that the noncompliance of the Supplier does not affect the interest of, or entail additional cost on the Bank and is not due to the fault of the Supplier.
- 47.6 The Bank shall be required to submit any document in its possession in relation to a procurement in which it authorizes the return of the Performance Security to the Supplier and account for its

action under the preceding Sub-Clause 47.5 of this GCC to the Bank.

F. Performance of the Contract

48. Scope of Supply

- 48.1 Subject to the SCC, the Goods and Related Services to be supplied shall be as specified in the Section 6, Statement of Requirements.
- 48.2 Unless otherwise stipulated in the Contract, the Supply shall include all such items not specifically mentioned in the Contract but that can be reasonably inferred from the Contract as being required for attaining Delivery and Completion of the Goods and Related Services as if such items were expressly mentioned in the Contract.

49. Specifications and Standards

- 49.1 Technical Specifications and Drawings
 - (a). The Supplier shall ensure that the Goods and Related Services comply with technical specifications and other provisions of the Contract.
 - (b). The Supplier shall be entitled to disclaim responsibility for any design, data, drawing, specification or other document, or any modification thereof provided or designed by or on behalf of the Bank, by giving a notice of such disclaimer to the Bank.
 - (c). The Goods and Related Services supplied under this Contract shall conform to the standards mentioned in the Statement of Requirements and, when no applicable standard is mentioned, the standard shall be equivalent or superior to the official standards whose application is appropriate to the goods' country of origin.
- 49.2 Wherever references are made in the Contract to codes and standards in accordance with which it shall be executed, the edition or the revised version of such codes and standards shall be those specified in the Statement of Requirements. During Contract execution, any changes in any such codes and standards shall be applied only after approval by the Bank and shall be treated in accordance with GCC Clause 14.

50. Delivery

- 50.1 The Supplier shall deliver the Goods to the Location and in accordance with any delivery instructions in the SCC, Purchase Order or as agreed by the Parties in writing.
- 50.2 Delivery shall be completed when the Goods have been unloaded at the Location and such delivery has been accepted by a duly authorized agent, employee or Location representative of the Bank. The Bank shall procure that such duly authorized agent, employee or Location representative of the Bank is at the delivery location in order to accept such delivery.
- 50.3 In the event that the Bank require next day or short notice deliveries which are not provided for in the SCC Clause 50.1, the Supplier may pass on any additional costs relating to the delivery of the Goods to the Bank placing the Purchase Order.
- 50.4 Early or partial deliveries require the explicit written consent of the Bank; which consent shall not be unreasonably withheld.
- 50.5 Unless otherwise stated in SCC, the Supplier is responsible for obtaining all export and import licenses for the Goods and shall be responsible for any delays due to such licenses not being available when required.

- 50.6 In the case of any Goods supplied from outside the Federal Democratic Republic of Ethiopia, the Supplier shall ensure that accurate information is provided to the Bank as to the country of origin of the Goods and shall be liable to the Bank for any additional duties or taxes for which the Bank may be accountable should the country of origin prove to be different from that advised by the Supplier.
- 50.7 Where the Bank agrees in writing to accept delivery by installments the Contract will be construed as a single contract in respect of each installment. Failure by the Supplier to deliver any one installment may allow the Bank at its option to treat the whole Contract as repudiated depending upon the circumstances of the non-delivery, such option not to be unreasonably invoked.
- 50.8 Any arrangement to deliver the Goods where carriage is to be charged separately or any arrangement by which the Goods are collected by the Bank in return for a discount on the Contract Price shall be recorded in writing and signed by a duly authorized signatory on behalf of the Bank. Where due to an emergency such arrangements cannot be committed to writing and signed off as aforesaid the Parties shall confirm such arrangements in writing as soon as possible thereafter.
- 50.9 The details of shipping and other documents to be furnished by the Supplier are specified in the SCC.

51. Packing, Marking, and Documents

- 51.1 The Supplier shall provide such packing of the goods as is required to prevent their damage or deterioration during shipment to their final destination, as indicated in the Contract. During shipment, the packing shall be sufficient to withstand, without limitation, rough handling and exposure to extreme temperatures, salt and precipitation, and open storage. Packing case size and weights shall take into consideration, where appropriate, the remoteness of the goods' final destination and the absence of heavy handling facilities at all points in transit.
- 51.2 Unless otherwise specified in SCC, the following details shall be shown on the outside of every package:
- (a). A description of the Goods which shall include, without limitation, the weight of the Goods where available and the Bank's Purchase Order number;
 - (b). The quantity in the package where available;
 - (c). Any special directions for storage;
 - (d). The expiry date of the contents where available;
 - (e). The batch number; and
 - (f). The name of the manufacturer of the Goods and the Supplier.

52. Identification of Goods

- 52.1 All Goods that customarily bear any mark, tab, brand, label or other device indicating place of origin, inspection by anybody or standard of quality must be delivered with all the said marks, tabs, brands, labels, serial numbers or other devices intact.

53. Containers and Pallets

- 53.1 The Supplier shall collect without charge any returnable containers (including pallets) within 21 days of the date of the relevant delivery note unless otherwise instructed by the Bank. Empty containers not so removed may be returned by the Bank at the Supplier's expense or otherwise disposed of at the Bank's discretion. The Supplier shall credit in full any charged containers upon

collection or return.

54. Property and Risk

- 54.1 Notwithstanding delivery, ownership of the Goods shall not have passed from the Supplier until the full Contract Price of such Goods has been paid.
- 54.2 All tools, equipment and materials of the Supplier required in the performance of the Supplier's obligations under the Contract shall be and remain at the sole risk of the Supplier whether or not they are situated at the Location.

55. Tools etc.

- 55.1 Any tools, patterns, materials, drawings, specifications and/or other data provided by the Bank to the Supplier in connection with the Purchase Order will at all times be at the Supplier's risk and remain the property of the Bank and shall be delivered up to the Bank immediately on request and are to be used by the Supplier solely for the purpose of completing the Purchase Order.
- 55.2 Any tools which the Supplier may construct or acquire specifically in connection with the Goods will remain the property of the Supplier unless it is agreed in writing that the property of the tools will be transferred to the Bank upon payment by the Bank of a charge.

56. Quality

- 56.1 The Goods shall be new, and shall be supplied strictly in accordance with the Specification and/or any sample previously provided to the Bank and, unless otherwise agreed in writing, shall conform to all relevant standards, specifications and conditions and all work performed by the Supplier shall be in accordance with best practice. For the avoidance of doubt, the Supplier warrants that the Goods are not scrap goods.
- 56.2 The Supplier warrants its expertise and confirms the accuracy of all statements and representations made in respect of the Goods prior to and subsequent to, the Purchase Order.
- 56.3 The Supplier agrees to assign to the Bank upon request the benefit of any warranty, guarantee or similar right which it has against any third party manufacturer or supplier of the Goods or any part thereof.

57. Inspections and Tests

- 57.1 The Supplier shall carry out at its own expense and at no cost to the Bank all such tests and/or inspections of the Goods and Related Services as are specified in the Statement of Requirements.
- 57.2 The inspections and tests may be conducted on the premises of the Supplier or its Subcontractor, at point of delivery, and/or at the Goods' final destination, or in another place in the Federal Democratic Republic of Ethiopia as specified in the SCC. Subject to GCC Sub-Clause 57.3, if conducted on the premises of the Supplier or its Subcontractor, all reasonable facilities and assistance, including access to drawings and production data, shall be furnished to the inspectors at no charge to the Bank.
- 57.3 The Bank or its designated representative shall be entitled to attend the tests and/or inspections referred to in GCC Sub-Clause 57.2, provided that the Bank bear all of its own costs and expenses incurred in connection with such attendance including, but not limited to, all travelling and board and lodging expenses.

- 57.4 Whenever the Supplier is ready to carry out any such test and inspection, it shall give a reasonable advance notice, including the place and time, to the Bank. The Supplier shall obtain from any relevant third party or manufacturer any necessary permission or consent to enable the Bank or its designated representative to attend the test and/or inspection.
- 57.5 The Bank may require the Supplier to carry out any test and/or inspection not required by the Contract but deemed necessary to verify that the characteristics and performance of the Goods comply with the technical specifications codes and standards under the Contract, provided that the Supplier's reasonable costs and expenses incurred in the carrying out of such test and/or inspection shall be added to the Contract Price. Further, if such test and/or inspection impede the progress of manufacturing and/or the Supplier's performance of its other obligations under the Contract, due allowance will be made in respect of the Delivery Dates and Completion Dates and the other obligations so affected.
- 57.6 The Supplier shall provide the Bank with a report of the results of any such test and/or inspection.
- 57.7 The Bank may reject any Goods or any part thereof that fail to pass any test and/or inspection or do not conform to the specifications. The Supplier shall either rectify or replace such rejected Goods or parts thereof or make alterations necessary to meet the specifications at no cost to the Bank, and shall repeat the test and/or inspection, at no cost to the Bank, upon giving a notice pursuant to GCC Sub-Clause 57.4.
- 57.8 The Supplier agrees that neither the execution of a test and/or inspection of the Goods or any part thereof, nor the attendance by the Bank or its representative, nor the issue of any report pursuant to GCC Sub-Clause 57.6, shall release the Supplier from any warranties or other obligations under the Contract.

58. Rejection of Goods

- 58.1 Without prejudice to the operation of Sub-Clause 58.4, the Goods shall be inspected by the Bank or on behalf of it within a reasonable time after delivery under Clause 51 of the Contract and may be rejected if found to be defective or inferior in quality to or differing in form or material from the Statement of Requirements of the Contract, or if they do not comply with any term, whether expressed or implied, of the Contract.
- 58.2 Without prejudice to the operation of Sub-Clause 58.4, the Bank shall notify the Supplier of:
- (a). The discovery of any defect within a reasonable time of its discovery and shall give the Supplier all reasonable opportunities to investigate such defect; and
 - (b). Any shortage or damage caused in transit and found on delivery within 14 days of delivery or such time as agreed by the Parties.
- 58.3 The whole of any delivery may be rejected if a reasonable sample of the Goods taken indiscriminately from that delivery is found not to conform in every material respect to the Statement of Requirements of the Contract.
- 58.4 The Bank's right of rejection shall continue irrespective of whether the Bank has in law accepted the Goods. In particular, taking delivery, inspection, use or payment by the Bank of the Goods or part of them shall not constitute acceptance, waiver or approval and shall be without prejudice to any right or remedy that the Bank may have against the Supplier provided that the right of rejection shall cease within a reasonable time from the date on which the Bank discovers or might reasonably be expected to discover the latent defect or other relevant breach of contract.

- 58.5 Goods so rejected after delivery shall be removed by the Supplier at its own expense within fourteen days from the date of notification of rejection. If the Supplier fails to remove them within such period, the Bank may return the rejected Goods at the Supplier's risk and expense and charge the Supplier for the cost of storage from the date of rejection.

59. Extensions of Time

- 59.1 If at any time during performance of the Contract, the Supplier or its subcontractors should encounter conditions impeding timely delivery of the Goods or completion of Related Services pursuant to GCC Clause 51, the Supplier shall promptly notify the Bank in writing of the delay, its likely duration, and its cause. As soon as practicable after receipt of the Supplier's notice, the Bank shall evaluate the situation and may at its discretion extend the Supplier's time for performance, in which case the extension shall be ratified by the parties by amendment of the Contract.
- 59.2 Except in case of Force Majeure, as provided under GCC Clause 17, a delay by the Supplier in the performance of its Delivery and Completion obligations shall render the Supplier liable to the imposition of liquidated damages pursuant to GCC Clause 25, unless an extension of time is agreed upon, pursuant to GCC Sub-Clause 59.1 without application of liquidated damages.

60. Performance Measurement

- 60.1 The Bank shall ascertain whether the Supplier's provision of the Goods in question meets any performance criteria as specified in the Statement of Requirements or, if the criteria are not so specified, meets the standards of a professional supplier of the Goods. On or before the fifteenth working day of each calendar month during the Contract Period and within 14 days after termination of the Contract, the Bank may:
- (a). Each Performance Notice issued by the Bank shall include a proposed rebate of the Contract Price commensurate to the under-performance of the Supplier as recorded in the Performance Notice;
 - (b). If the Supplier disputes any matter referred to in any Performance Notice and/or the proposed rebate of the Contract Price, the Supplier may raise this objection with the Bank and if this matter is not resolved within 7 days the matter shall be referred to the Dispute Resolution Procedure; and
 - (c). If the Supplier has not risen any objection to the Performance Notice within 7 days of receipt (or such other period as agreed between the Parties) then that Performance Notice shall be deemed to have been accepted by the Supplier and the rebate on the Contract Price referred to therein shall become immediately effective.
- 60.2 The Bank's rights under this Clause are without prejudice to any other rights or remedies the Bank may be entitled to.
- 60.3 If required by the Bank, the Parties shall co-operate in sharing information and developing performance measurement criteria with the object of improving the Parties' efficiency. Any such agreements shall be fully recorded in writing by the Bank.

Section 8. Special Conditions of Contract

Procurement Reference Number is: **ZB/16/26**

The following Special Conditions of Contract (SCC) shall supplement the General Conditions of Contract (GCC). Whenever there is a conflict, the provisions herein shall prevail over those in the GCC.

GCC Clause Reference	Section 8. Special Conditions of Contract																																				
	A. General Provisions																																				
	Procurement Reference Number is: ZB/16/26																																				
GCC 1.2 (s)	The Purchaser is: Zemen Bank S.C																																				
GCC 1.2 (x)	The Supplier is:																																				
GCC 6.3 (a)	The meaning of the trade terms shall be as prescribed by International Chamber of Commerce																																				
GCC 6.3 (b)	The version of Incoterms shall be: The latest version																																				
	B. The Contract																																				
GCC 7.1 (i)	In addition to documents listed in GCC Clause 7.1 the following documents shall form the Contract: Award Letter, Negotiation Minute if any																																				
GCC 7.3	The Bank's authorized representative shall be: <table border="1" style="width: 100%; border-collapse: collapse;"> <tr><td>Authorized Representative:</td><td></td></tr> <tr><td>P.O. Box:</td><td>1212</td></tr> <tr><td>Street Address:</td><td>Sengatera, Ras Abebe Aregay Street.</td></tr> <tr><td>Town/City:</td><td>Addis Ababa</td></tr> <tr><td>Post Code:</td><td></td></tr> <tr><td>Country:</td><td>Ethiopia</td></tr> <tr><td>Telephone:</td><td>011 5 570977/011 5 57 35 25</td></tr> <tr><td>Facsimile:</td><td></td></tr> <tr><td>E-mail address</td><td></td></tr> </table> The Supplier's authorized representative shall be: <table border="1" style="width: 100%; border-collapse: collapse;"> <tr><td>Authorized Representative:</td><td></td></tr> <tr><td>P.O. Box:</td><td></td></tr> <tr><td>Street Address:</td><td></td></tr> <tr><td>Town/City:</td><td></td></tr> <tr><td>Post Code:</td><td></td></tr> <tr><td>Country:</td><td></td></tr> <tr><td>Telephone:</td><td></td></tr> <tr><td>Facsimile:</td><td></td></tr> <tr><td>E-mail address</td><td></td></tr> </table>	Authorized Representative:		P.O. Box:	1212	Street Address:	Sengatera, Ras Abebe Aregay Street.	Town/City:	Addis Ababa	Post Code:		Country:	Ethiopia	Telephone:	011 5 570977/011 5 57 35 25	Facsimile:		E-mail address		Authorized Representative:		P.O. Box:		Street Address:		Town/City:		Post Code:		Country:		Telephone:		Facsimile:		E-mail address	
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GCC Clause Reference	Section 8. Special Conditions of Contract																																												
GCC 8.1	The governing law shall be The Federal Democratic Republic of Ethiopia Law																																												
GCC 10.1 and 10.3	For notices, the Bank's address shall be: <table border="1" data-bbox="355 392 1271 777"> <tr><td>Bank:</td><td>Zemen Bank</td></tr> <tr><td>Attention:</td><td></td></tr> <tr><td>Floor/Room number:</td><td>HQ Building 15th floor</td></tr> <tr><td>P.O. Box:</td><td>1212</td></tr> <tr><td>Street Address:</td><td>Sengatera, Ras Abebe Aregay Street</td></tr> <tr><td>Town/City:</td><td>Addis Ababa</td></tr> <tr><td>Post Code:</td><td></td></tr> <tr><td>Country:</td><td>Ethiopia</td></tr> <tr><td>Telephone:</td><td>011 5 5758 25/011 5 57 35 25</td></tr> <tr><td>Facsimile:</td><td></td></tr> <tr><td>E-mail address</td><td></td></tr> </table> For notices, the Supplier's address shall be: <table border="1" data-bbox="355 831 1271 1224"> <tr><td>Supplier:</td><td></td></tr> <tr><td>Attention:</td><td></td></tr> <tr><td>Floor/Room number:</td><td></td></tr> <tr><td>P.O. Box:</td><td></td></tr> <tr><td>Street Address:</td><td></td></tr> <tr><td>Town/City:</td><td></td></tr> <tr><td>Post Code:</td><td></td></tr> <tr><td>Country:</td><td>Ethiopia</td></tr> <tr><td>Telephone:</td><td></td></tr> <tr><td>Facsimile:</td><td></td></tr> <tr><td>E-mail address</td><td></td></tr> </table>	Bank:	Zemen Bank	Attention:		Floor/Room number:	HQ Building 15 th floor	P.O. Box:	1212	Street Address:	Sengatera, Ras Abebe Aregay Street	Town/City:	Addis Ababa	Post Code:		Country:	Ethiopia	Telephone:	011 5 5758 25/011 5 57 35 25	Facsimile:		E-mail address		Supplier:		Attention:		Floor/Room number:		P.O. Box:		Street Address:		Town/City:		Post Code:		Country:	Ethiopia	Telephone:		Facsimile:		E-mail address	
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GCC 15.1	In case of change of laws and regulation after the deadline for submission of the Bid Contract Price shall not be correspondingly increased or decreased and/or the Delivery Date shall not be reasonably adjusted to the extent that Supplier has thereby been affected in the performance of any of its obligations under the Contract.																																												
GCC 16.1	For Goods supplied from outside the Federal Democratic Republic of Ethiopia The Supplier shall be responsible for all taxes, custom duties, formalities, license fees except for the following:																																												
GCC 16.2	For Goods supplied from within the Federal Democratic Republic of Ethiopia the Supplier shall be responsible for all taxes, formalities, license fees except for the following:																																												
GCC 23.3	The period of validity of the Warranty shall be: as indicated in the statement of requirement																																												
GCC 23.5	The repair or replace period will be: 15 days after receipt of the letter																																												
	C. Obligations of the Bank																																												
GCC 29.1	The Bank shall, if so required by the Supplier, assist the Supplier in complying with the following requirements: None																																												

GCC Clause Reference	Section 8. Special Conditions of Contract
	D. Payment
GCC 32.4	The Bank shall pay the Contract Price to the Supplier, within the period 100% of the contract amount shall be paid to the supplier within Fifteen (15) days after receipt and acceptance of the goods upon submission of claim supported by the acceptance certificate issued by the Bank
GCC 32.5	For Goods supplied locally, all payment to the Supplier under this Contract shall be made in ETB . For Goods supplied from outside the Federal Democratic Republic of Ethiopia, all payment to the Supplier under this Contract shall be made in. USD
	E. Obligations of the Supplier
GCC 40.1 (b)	The amount of aggregate liability shall be: the total Contract price
GCC 42.1	The insurance coverage shall be in accordance with the following Incoterms: As stated on the bid data sheet
GCC 47.1	The amount of the Performance Security shall be: 10% of total contract price
GCC 47.3	The types of acceptable Performance Securities are: Bank guarantee acceptable to the Bank or CPO The currency shall be: Depending on the currency of the contract
GCC 47.4	Discharge of the Performance Security shall take place: completion of full delivery and inspection as per the contract + 28 days including any warranty obligations
	F. Performance of the Contract
GCC 48.1	The Scope of Supply shall be defined in: Section 6 Statement of Requirement
GCC 50.1	The Supplier shall deliver the Goods to the following Locations: as per indicated on Statement of Requirement Section 6
GCC 50.5	The Supplier shall be responsible for obtaining all export and import licenses for the Goods
GCC 50.9	The shipping and other documents to be furnished by the Supplier are: NA
GCC 51.2	The following details must be shown on the outside of every package : (a). A description of the Goods which shall include, without limitation, the weight of the Goods where available and the Bank's Purchase Order number; (b). The quantity in the package where available; (c). Any special directions for storage; (d). The batch number; and (e). The name of the manufacturer of the Goods and the Supplier
GCC 57.2	Inspections and tests will be conducted at: Addis Ababa, Bank's Headquarter

Section 9. Contract Forms

A. Contract Agreement

For the Procurement of Design, Supply and Implementation of Document Management System

Procurement Reference No: ZB/16/26

This Contract Agreement is made on the day of the month of , **BETWEEN**

Zemen Bank S.C, and having its principal place of business (hereinafter called the “Bank”),
and

a corporation incorporated under the laws of and having its principal place of business at (hereinafter called the “Supplier”), of the other part

WHEREAS

- (e). The Bank invited bids for certain Goods and Related Services (hereinafter called the “Goods”), and has accepted a Bid by the Supplier for the supply of those Goods and Services in the sum of (hereinafter called “the Contract Price”) in the manner and on the terms described herein
- (f). The Supplier having represented to the Bank that it has the required skills, personnel and technical resources, has agreed to provide the Goods on the terms and conditions set forth in this Contract;

NOW THEREFORE the parties hereto hereby agree as follows:

1. The Agreement

- 1.1 In this Agreement, words and expressions shall have the same meanings as are respectively assigned to them in the Conditions of Contract referred to.
- 1.2 The following documents shall constitute the Contract between the Bank and the Supplier, and each shall be read and construed as an integral part of the Contract:
 - 1. This Contract Agreement;
 - 2. The Special Conditions of Contract;
 - 3. The General Conditions of Contract;
 - 4. The Bid Submission Sheet with Annexes;
 - 5. Price Schedule;
 - 6. List of accepted items including their unit price;
 - 7. Bidder Certification of Compliance with Annexes;
 - 8. Technical Specification + Technical Offer + Compliance Sheet with Annexes;
- 1.3 This Contract shall prevail over all other Contract documents. In the event of any discrepancy

or inconsistency within the Contract documents, then the documents shall prevail in the order listed above.

- 1.4 In consideration of the payments to be made by the Bank to the Supplier as hereinafter mentioned, the Supplier hereby covenants with the Bank to provide the Goods and Services and to remedy defects therein in conformity in all respects with the provisions of the Contract.
- 1.5 The Bank hereby covenants to pay the Supplier in consideration of the provision of the Goods and Services and the remedying of defects therein, the Contract Price or such other sum as may become payable under the provisions of the Contract at the times and in the manner prescribed by the Contract.

2. Term of Contract Agreement

- 2.1 The Contract shall enter into force on the date on which it is signed by the last contracting party.
- 2.2 Under no circumstances may implementation commence before the date on which the Contract Agreement enters into force.

IN WITNESS WHEREOF, the Parties hereto have caused this Contract to be signed in their respective names as of the day and year first above written.

SIGNED for and on behalf of

Signature:

Name:

Position:

Date:

SIGNED for and on behalf of

Signature:

Name:

Position:

Date:

WITNESS to signature on behalf of

Signature:

Name:

Position:

Date:

WITNESS to signature on behalf of

Signature:

Name:

Position:

Date:

B. Performance Security

(Bank Guarantee)

Date:

Procurement Reference No: ZB/16/26

To:

WHEREAS (hereinafter “the Supplier”) has undertaken, pursuant to Contract No. dated, to supply (hereinafter “the Contract”).

AND WHEREAS it has been stipulated by you in the aforementioned Contract that the Supplier shall furnish you with a security issued by a reputable guarantor for the sum specified therein as security for compliance with the Supplier’s performance obligations in accordance with the Contract.

AND WHEREAS the undersigned, legally domiciled in [\[insert complete address of Guarantor\]](#), (hereinafter the” Guarantor”), have agreed to give the Supplier a security:

THEREFORE WE hereby affirm that we are Guarantors and responsible to you, on behalf of the Supplier, up to a total of and we undertake to pay you, upon your first written demand declaring the Supplier to be in default under the Contract, without cavil or argument, any sum or sums within the limits of as aforesaid, without your needing to prove or to show grounds or reasons for your demand or the sum specified therein.

This security is valid until the day of, .

This guarantee is subject to the Uniform Rules for Demand Guarantees, ICC Publication No 458.

Name:

In the capacity of

Signed:

Duly authorized to sign the Security for and on behalf of:

Dated on [\[insert day\]](#) day of], 20

Advance Payment Security

(Bank Guarantee)

Date:

Procurement Reference No: ZB/16/26

To:

In accordance with the payment provision included in the Contract, in relation to advance payments, (hereinafter called “the Supplier”) shall deposit with the Bank a security consisting of , to guarantee its proper and faithful performance of the obligations imposed by said Clause of the Contract, in the amount of .

We, the undersigned , legally domiciled in (hereinafter “the Guarantor”), as instructed by the Supplier, agree unconditionally and irrevocably to guarantee as primary obligor and not as surety merely, the payment to the Bank on its first demand without whatsoever right of objection on our part and without its first claim to the Supplier, in the amount not exceeding .

This security shall remain valid and in full effect from the date of the advance payment received by the Supplier under the Contract until, [\[insert year\]](#).

Name:

In the capacity of

Signed:

Duly authorized to sign the Security for and on behalf of:

Dated on [\[insert day\]](#) day of], 20